

# Winner Takes All Applies to Stocks, Too

**T**HE WINNER-TAKE-ALL PHENOMENON is well-documented among sports stars, pop singers, fiction authors, actors, and hedge fund managers—those at the top reap fabulous rewards while everyone else scrapes to get by. It turns out the same holds true in the market for stocks: Just 1.3% of the public companies in the United States account for *all the market gains during the last three decades*. Outside the US, the gains are even more concentrated, with less than 1% of all equities driving all net appreciation in share prices.

Those numbers come from a ground-breaking study on equities analyzing how gains are distributed.<sup>[216](#)</sup> Ardent stock pickers reading the paper might find themselves turned into indexers as a result of what they learn.

The lead author of the paper, Hendrik Bessembinder, is a professor of finance at the Arizona State University Carey School of Business.<sup>[217](#)</sup> He and his research team looked at 62,000 global common stocks from 1990 to 2018, and ranked them on a compounded, total-return basis. That period includes two decade-long market expansions, from 1990 to 2000 and 2009 through 2018, as well as two major market crashes in 2000 and 2008. These periods, encompassing bear and bull cycles, make it unlikely the findings are due to anomalies or one-off events.

Their data analysis reveals that net gains for equities can be found in a small group of outliers—and much fewer in number than is commonly thought of by market participants.

Just five companies—Apple, Microsoft, Amazon, Alphabet (Google), and ExxonMobil—accounted for 8% of global net wealth creation. It is hard to imagine a greater example of the winner-take-all distribution—these five companies account for just 0.01% of the total sample set of 62,000 publicly